BENCHMARKING STUDY · FY26

What separates India's best-earning hospital chains?

Revenue per bed, occupancy and margins across six listed chains

Source: company FY26 results disclosures. Student analysis, not investment advice.

Price and case mix explain about half to two-thirds of Max's revenue-per-bed lead; occupancy explains the rest

Fortis

56%

price and mix, 44% occupancy

Medanta

48%

price and mix, 52% occupancy

KIMS

69%

price and mix, 31% occupancy

Annual revenue per available bed: Max Rs 216 lakh, Fortis Rs 171 lakh, Medanta Rs 151 lakh, KIMS Rs 82 lakh.

Share of each chain's revenue-per-bed gap vs Max. Revenue per bed = ARPOB x occupancy x 365. Source: company FY26 disclosures; Excel model.

Six chains, four metrics: disclosure gaps limit like-for-like comparison

Max Healthcare	77,800	76%	26.2%	~4.1
Fortis (hospitals)	68,767	68%	22.2%	N/D
Medanta	66,550	~62%	24.2%	N/D
KIMS	44,644	50.5%	21.1%	3.57
Apollo (healthcare services)	N/D	68%	24.4%	N/D
Narayana (India hospitals)	N/D	not reported	23.1%	N/D

N/D = not disclosed on a comparable basis. Apollo reports revenue per patient, not ARPOB. Margin bases differ by chain. Source: FY26 company results.

Expansion dilutes group margins while mature hospitals still earn 25-30%

KIMS

Group margin fell from 26.6% to 21.1% in FY26 as new hospitals ramped up.

Management cites about 29.5-30% on mature units.

Medanta

New Noida hospital posted an EBITDA loss of about Rs 78 Cr in its first year.

Margin 24.2% with Noida vs 25.7% without.

Fortis

13 facilities earn above 20% margin and deliver 76% of hospital revenue.

Hospital margin rose from 20.5% to 22.2%.

Source: KIMS, Medanta and Fortis Q4 FY26 releases and earnings calls (May 2026).

For an illustrative 2,000-bed chain, occupancy and shorter stays are each worth Rs 70-90 Cr of EBITDA

Occupancy +5 points

+Rs 90 Cr

+19% EBITDA

ALOS down 0.5 day

+Rs 68 Cr

+14% EBITDA

Both levers

+Rs 164 Cr

Margin 20.0% to 23.3%

Base: 2,000 beds, 60% occupancy, ARPOB Rs 55,000, 20% EBITDA margin, ALOS 4.0 days.

Hypothetical chain. Key assumptions, not company data: 45% contribution margin; ARPOB +0.5% per 1% ALOS cut. Both are tested in the Excel model.

Three moves for a mid-sized chain

1. **Fill beds before adding beds.** Occupancy is worth about Rs 90 Cr in the model; peers run 62-76%.
2. **Shift case mix toward complex specialties.** Price and mix explain 48-69% of the gap to Max.
3. **Stage capacity.** Open new beds as occupancy ramps to protect group margin.

Limits: margin definitions differ across chains, two chains lack comparable ARPOB, and the lever model rests on stated assumptions.

Source: company FY26 disclosures; Hospital_Benchmarking_Model.xlsx.